

Annual Report on Form 10-K

Cascadia Robotics, Inc. (NASDAQ: CSCD)

For the fiscal year ended December 31, 2024

SYNTHETIC SAMPLE DOCUMENT. Cascadia Robotics is a fictional company and every figure below is invented for testing purposes. This filing was prepared in accordance with generally accepted accounting principles (GAAP) and has not been reviewed by the Securities and Exchange Commission (SEC) or any auditor.

Item 7. Management's Discussion and Analysis

Total revenue was \$1,842 million in fiscal year 2024, an increase of 18% compared with \$1,561 million in fiscal year 2023. Growth was driven primarily by the Industrial Automation segment, which benefited from strong demand for warehouse picking robots, partially offset by a slower ramp in the Consumer Robotics segment.

Gross margin was 54.2% in fiscal year 2024, compared with 51.6% in fiscal year 2023, an improvement of approximately 260 basis points. The improvement reflects manufacturing scale efficiencies at our Reno facility and a favourable shift in revenue mix toward higher-margin service contracts.

Operating income was \$312 million in fiscal year 2024, compared with \$224 million in fiscal year 2023. Operating expenses grew 14% year over year, reflecting continued investment in research and development for our next-generation actuator platform.

Net income for fiscal year 2024 was \$241 million, or \$1.87 per diluted

share, compared with net income of \$173 million, or \$1.36 per diluted share, in fiscal year 2023.

Segment Results

Revenue and operating income by reportable segment were as follows.

Segment	FY24 Revenue	FY23 Revenue	FY24 Operating Income
Industrial Automation	1,203	967	268
Consumer Robotics	421	398	31
Field Services	218	196	13

Industrial Automation was the largest segment by both revenue and operating income in fiscal year 2024, contributing \$268 million of operating income on \$1,203 million of revenue.

Consolidated Balance Sheets

Item	December 31, 2024	December 31, 2023
Total current assets	612,400	498,150
Total assets	1,974,300	1,682,900
Total current liabilities	340,100	289,600
Total liabilities	611,700	542,300
Total stockholders' equity	1,362,600	1,140,600

Total assets were \$1,974,300 thousand and total stockholders' equity

was \$1,362,600 thousand at December 31, 2024, an increase from \$1,140,600 thousand a year earlier.

Consolidated Statements of Cash Flows

Net cash provided by operating activities was \$398 million in fiscal year 2024, compared with \$301 million in fiscal year 2023. Net cash used in investing activities was \$187 million, primarily for expansion of the Reno manufacturing facility. Net cash used in financing activities was \$54 million, reflecting share repurchases.

Item 1A. Risk Factors

Our business depends on continued capital spending by logistics and manufacturing customers on automation equipment. A slowdown in industrial capital expenditure could reduce revenue growth and compress margins. We face intense competition from both established industrial automation vendors and well-funded robotics startups.

We rely on a small number of suppliers for precision actuators and motion controllers used in our robots. A disruption at any of these suppliers could delay shipments and harm our results of operations.

Currency fluctuations may affect reported results, as a growing portion of revenue is denominated in currencies other than the US dollar as we expand in Europe and Asia.

Item 9A. Controls and Procedures

Management, including our Chief Executive Officer and Chief Financial Officer, evaluated the effectiveness of our disclosure controls and procedures and concluded that they were effective as of December 31, 2024. There has been no change in our internal control over financial

reporting during the quarter ended December 31, 2024 that has materially affected, or is reasonably likely to materially affect, our internal control over financial reporting.